

5.4 HOW DOES AN OPTIONS CONTRACT WORK?



Explainer Video

In every contract there are two parties involved, one is the buyer and the other is the seller. Both parties have different objectives and obligations in the agreement.

The **Buyer** of an options contract has the right but not the obligation to exercise the options at the expiry.



RIGHT TO EXERCISE



OBLIGATION TO EXERCISE

The **Seller** of an options contract, on the other hand, sells his option/ right and has an obligation to honor the commitments on expiry.



SELLS HIS OPTION/RIGHT



OBLIGATION TO HONOR THE CONTRACT

